

MSMEs, PLI, Semiconductors and Manufacturing Strategy

Economy Topic 17 | Current-source cutoff: 9 September 2026

01 MASTER SPINE

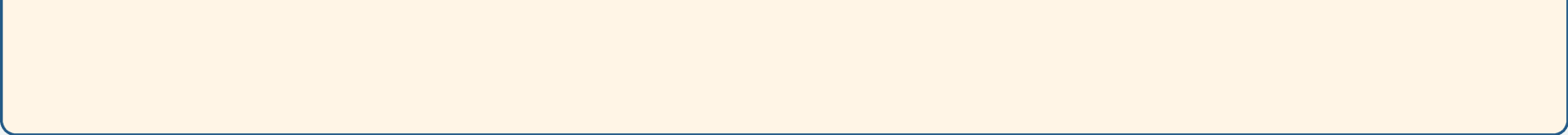
- MSME ladder -> productive graduation
 - PLI -> verified incremental performance
 - Ecosystem -> competitive manufacturing
 - Semiconductors -> full value chain
- > mechanism -> evidence -> qualification

02 MSME CLASSIFICATION

- 1 Apr 2025 composite limits
- Micro 2.5/10
- Small 25/100
- Medium 125/500
- Both investment and turnover

03 FORMALISATION

- Udyam identity
- Administrative data caveat
- Registration != credit/quality
- Measure active firms and productivity



04 FINANCE AND PAYMENT

- SIDBI development finance
- CGTMSE guarantee
- 45-day MSE payment limit
- TReDS/factoring/ODR

05 CAPABILITY TOOLS

- MSE procurement 25-4-3
- MSE-CDP shared facilities
- ZED Bronze/Silver/Gold
- RAMP FY2022-FY2027
- ECLGS closed 31 Mar 2023

06 PLI LOGIC

- Eligibility and base year
 - Incremental eligible sales
 - Verification before disbursement
 - Sector-specific rules
 - Sunset/review
- > mechanism -> evidence -> qualification

07 INSTRUMENT MAP

- PLI: output
- Capex support: investment

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- Tariff: import price
- Procurement: buyer demand

08 PLI SCORECARD

- Output and investment
- Domestic value addition
- Productive jobs and exports
- Supplier/R&D spillovers
- Counterfactual additionality

09 MANUFACTURING FOUNDATIONS

- Power and logistics
- Land, labour and skills
- Finance, standards and R&D
- Competition and exports
- Clusters/agglomeration

10 CHIP VALUE CHAIN

- Design/EDA/IP
- Materials/equipment
- Wafer fab
- ATMP/OSAT
- Electronics integration

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11 ISM STATUS

- Semicon 1.0: 15 Dec 2021
- Micron/Kaynes production 2026
- CG Semi inauguration Jul 2026
- Semicon 2.0: 15 Jul 2026
- Six pillars notified 31 Aug

12 ANSWER ENGINE

- Exact dated status
- Claim -> evidence -> analysis -> qualification
- Approval != outcome
- Output != DVA/additionality
- Review, competition and sunset

EXAM RULE

Date thresholds. Separate approval, investment, production, disbursement and outcome.
Measure DVA and additionality.